

Article | 25 August 2026

GERMANY

Germany's hot political autumn

The weather is cooling in Germany, but politics is heating up. Three state elections in a fortnight now decide how much authority the Merz government has left



Alice Weidel and Tino Chrupalla, co-chairpersons of Germany's far-right Alternative for Germany (AfD) party

It is Germany's super election year, and that is without a federal election. Two state elections at the start of the year, three more this autumn. State elections hit federal policymaking twice over: directly through the Bundesrat, which reviews every law parliament passes and can veto those touching state powers, and indirectly through the mood they set inside the parties and inside the governing coalition. A regional election is always that rare hybrid – a vote on local matters and local politicians, and a running poll on the popularity of the federal government.

Germany's election year got off to a relatively quiet start, but is about to end with a bang. In March, the Greens held Baden-Württemberg by some 27,000 votes over a CDU that gained almost six points and then lost the top spot in the final days of the campaign, and the CDU took Rhineland-Palatinate after 35 years of Social Democratic rule. The CDU escaped with bruises. Its junior partner in the federal government, the SPD, continued the downward trend of recent years.

Now three state parliaments are up within a fortnight: Saxony-Anhalt on 6 September, then Mecklenburg-Vorpommern and Berlin together on 20 September. Roughly 5.4 million people

are entitled to vote across the three, about 8% of the German electorate – and yet the outcome will set the political weather in Berlin for the remaining three years of this legislature, or could even end the coalition before the legislature officially does. In two of the three, the AfD leads. In the third, Die Linke does. In none of the three does the incumbent coalition still have a majority.

The timing is unkind. Friedrich Merz is one of the least popular chancellors ever; his party stands at some 21% in national polls, the SPD at 12, the AfD at 29. Government and country are struggling to agree on the far-reaching reforms needed to pull the economy out of a stagnation that has lasted far too long, regain competitiveness and confront structural challenges from demographic change to China's shifting role in the global economy. CDU and SPD agreed a reform package just before the summer, but not everyone in the parties supports it and implementation is cumbersome. The AfD, meanwhile, benefits from the government's inability – and at times unwillingness – to push reforms through quickly, and from the plain fact that reforms come at a cost.

What the polls are telling us

The election that probably matters most for the bigger picture is **Saxony-Anhalt** on 6 September. Not because of its size – 2.2 million people, four Bundesrat votes, the eleventh-largest state – but because the AfD is polling above 42% and could, for the first time in the Federal Republic's history, supply a state premier. If it wins an absolute majority, the case is clean-cut. If it comes first without one, uncertainty increases rather than falls: every other party would have to squeeze into a single coalition, or one of them would become kingmaker as the AfD's junior partner.

The incumbent CDU has no comfortable way out. Sven Schulze took the premiership only in January, succeeding Reiner Haseloff after 15 years, and his CDU-SPD-FDP coalition has since shed roughly a quarter of its support. On current polling, exactly one majority exists that excludes the AfD: CDU plus Die Linke plus SPD, with about one seat to spare. One seat, for five years, with a partner the CDU's own federal resolution forbids it to govern with.

Mecklenburg-Vorpommern offers a slightly different example. The AfD leads at 36% with Leif-Erik Holm, but Manuela Schwesig's SPD is at 29% – an extraordinary number for a party polling around 12% nationally. Asked directly who should be premier, voters back Schwesig over Holm by 47 to 27. Just 12% want a CDU-led government at all.

Schwesig's coalition with Die Linke would nonetheless lose its majority. The likely repair is an SPD-Linke-CDU arrangement, which would put the CDU into government as the fourth-placed junior partner of a red-red coalition. Note the shape of that: to keep the AfD out, the CDU may end up governing with Die Linke in two states on the same fortnight.

Berlin is a different animal: 2.4 million voters, four Bundesrat votes, and an AfD that at 17% is

nearly double its 2023 result but nowhere near winning. The drama here is fragmentation: Die Linke, CDU, AfD, Greens and SPD are currently inside six percentage points, and every plausible majority needs three of them.

The CDU has fallen roughly nine points from its 2023 high, and Kai Wegner – the first conservative mayor of Berlin since 2001 – withdrew his candidacy in July after months of criticism over his handling of the January blackout, staying on only until a successor government is formed. Finance Senator Stefan Evers inherited the candidacy and the acting party chairmanship with 10 weeks to run. Die Linke, campaigning hard on rents and expropriation with Elif Eralp, currently leads.

The AfD's grab bag of economic policies

Underneath these three horse races sits a broader story, and one that markets and the business community should be paying more attention to than they are: the rise of the AfD to Germany's largest political party, at least according to the polls.

On economic policy, the AfD remains a grab bag, or a surprise bag. What it actually wants is unclear; contradictions are not rare and very little has been committed to paper. The 2025 federal manifesto, adopted unanimously ahead of the federal election and still the binding party programme, contains an entire chapter demanding Germany's exit from the euro, a return to a national currency, gold repatriation and Target-2 "monetarisation". It also called for higher pensions. The ZEW scored it as having the largest financing gap of any party's programme.

Earlier this year, the AfD's parliamentary group published a position paper on economic policy. Measured against the 2025 manifesto, the deletions are the headline. The entire monetary-sovereignty complex – euro exit, D-Mark, gold, Target-2, Bitcoin – the party's founding DNA from 2013, is absent without a trace. Russia policy is laundered into supply-chain language. What remains is dressed as poisoned fruit for the CDU: the paper builds its tax reform on Paul Kirchhof's proposals – the flat-tax architecture Angela Merkel brought into the 2005 campaign, and which the SPD then turned into the "professor from Heidelberg" caricature that nearly cost Merkel the chancellery – and defends the constitutional debt brake as sacrosanct. The AfD is handing the CDU back a weapon that once blew up in its hands.

Where the party does put numbers on paper, the numbers have now been checked. On 5 August, a month before polling day, the Halle Institute for Economic Research costed the AfD's Saxony-Anhalt programme. Of 136 cost-effective measures, 28 can be quantified by official sources, at roughly €1.6bn a year; add the €877m of already-planned borrowing the party's no-new-debt pledge would have to replace, and the annual financing need is about €2.5bn. Against that stand €243m of provable savings, on assumptions deliberately generous to the AfD. Less than ten cents of every promised euro is covered. The residual gap of at least €2.2bn equals roughly a quarter of the state's entire tax revenue – and it is a floor, since 108 of the

136 measures could not be costed at all. However, here is the uncomfortable part for anyone who believes costs win arguments. The study landed on 5 August. The AfD's polling has risen since.

And then there is the small matter of what the party leader says when the cameras are on. In the ZDF Sommerinterview on Sunday, filmed in Vienna where she was meeting the FPÖ, Alice Weidel walked through the entire case against the single currency: an unstable soft currency, a machine for redistribution, a country that was doing distinctly better before it. What she did not do was say plainly that an AfD government would take Germany out of the eurozone. The argument was made in full; the commitment was left hanging. On Schengen she was blunter: the treaty would be cancelled. Which tells you something about where the party thinks its caution still pays. Even leaving the financing question aside, it remains completely unclear what kind of economic policy a state – or the country – would get with the AfD in government.

Why the three state elections matter for national politics

The direct impact on the German economy from the September elections will be very limited. At best, new state governments could undermine support for the federal reform package and slow implementation, or eventually derail it. The indirect impact could be much larger. Beyond the symbolic effect one or several AfD wins would have on foreign investor sentiment, there are potential reactions inside the parties themselves that could slow reform further and eventually bring down the federal government. Three triggers are worth watching.

One: the cordon sanitaire becomes expensive. Chancellor and CDU leader Friedrich Merz has held the line against cooperation with the AfD. September's arithmetic sends the bill. If the only non-AfD majorities in Saxony-Anhalt and Mecklenburg-Vorpommern are coalitions in which the CDU governs alongside Die Linke, an ugly internal debate follows about which taboo is load-bearing: the firewall against the AfD, or the party resolution ruling out coalitions with the Left.

Two: leadership risk becomes live. Merz remains the least popular chancellor on record. His U-turn on the debt brake and fiscal stimulus, the gap between words and action, the slow and cumbersome reform effort and some clumsy personnel management have all drawn criticism from within his own party. Over the summer there were already rumours of an attempt to replace him after the September elections. Easier said than done – but the mere existence of the debate signals unrest, and unrest can grow.

Three: the SPD's slowly growing existential crisis. There is a real risk the SPD misses the 5% threshold in Saxony-Anhalt and drops out of the state parliament altogether – unprecedented, and deeply unsettling for a party leadership already short of good news. The weaker the SPD's support, the likelier an internal fight over course: press on with the government's reform agenda, or unwind much of it and take a more French approach to economic reform.

For the economy, nothing will change in September. What the elections could change is the price of everything the government still wants to do. And how much time it will have left to do it.

Author

Carsten Brzeski

Global Head of Macro

carsten.brzeski@ing.de

Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. (“ING”) solely for information purposes without regard to any particular user’s investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies).* The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit www.ing.com.

Article | 27 August 2026

FX

FX Daily: September Fed conundrum remains

We read yesterday's PCE print as benign enough to stick to our call for no Fed hikes this year. But markets are still hawkish, and the risk is that the FOMC may be drawn into a hike by market pricing, if only to avoid triggering bond volatility. Tomorrow's speech by Chair Kevin Warsh could be pivotal. Meanwhile, CAD and AUD are on very different trajectories



Jackson Hole takes centre stage tomorrow as Kevin Warsh delivers what could be a market-moving speech

➔ USD: Wait and see ahead of Warsh's speech

Data [releases](#) in the US yesterday were a mixed bag, offering some support to the dollar but failing to solve the market's conundrum about the September FOMC (pricing now 9bp). Core PCE, the Federal Reserve's preferred inflation gauge, printed in line with expectations at 0.2% month-on-month and 3.3% year-on-year, suggesting disinflation remains on track but at a frustratingly gradual pace. Headline PCE came in slightly firmer at 0.2% MoM and 3.7% YoY, prompting a small hawkish repricing in the USD curve.

The growth side of the report was softer. Real personal spending was unchanged in July despite higher real disposable income, with households opting to save rather than spend. Real household disposable income has effectively flatlined for more than a year.

Overall, we remain reasonably confident in our call for the Fed to hold on 16 September and, by extension, in a weaker dollar. That said, the next three weeks may need to bring a more convincing combination of data and Fed speak before markets move closer to a hold outcome. Our concern is that, if markets are pricing roughly a 50% chance of a hike by decision day, the likelihood of a hike would increase, as the Committee may be reluctant to risk triggering bond market volatility.

Tomorrow's speech at Jackson Hole by Kevin Warsh remains a potentially pivotal event for FX, and markets may be reluctant to build excessive USD shorts today. DXY may find support above 99.0 into the speech despite some upbeat risk sentiment after strong Nvidia results.

On a separate note, we discuss why we think CAD has further to fall, especially in the crosses, on the back of the latest US-Canada trade tensions [here](#).

Francesco Pesole

➔ **EUR: Not touched by Russia headlines**

Energy prices inched higher yesterday after a report suggested the Kremlin is planning a new escalation in the Ukraine war after negotiations for a peace deal reached an end. Reportedly, that could mean an intensification of conventional ballistic missile strikes.

The Russia-Ukraine conflict has been completely sidelined by markets for a while, and there was little to suggest hopes of a resolution were building up. The commodity markets continue to look only at the Middle East situation and it's too early to draw any conclusions for the euro from yesterday's headlines.

The eurozone data calendar is quiet today, and EUR/USD can stabilise around 1.1640-70 ahead of Warsh's speech at Jackson Hole. On politics, it's worth keeping an eye on the first French presidential debate. Marine Le Pen is currently leading in the polls.

Francesco Pesole

➔ **JPY: Tokyo CPI shouldn't change hawkish views**

Tokyo CPI for August is released at 00:30 BST tomorrow. The headline is expected to inch lower to 1.9% (from 2% in July) and core to 1.8% (from 1.9%). A close-to-consensus print should not derail market confidence on a rate hike by the Bank of Japan on 18 September (21bp currently in the price), after US Treasury Secretary Scott Bessent called for a policy follow-up to FX intervention and July CPI surprised on the upside.

The two-year USD:JPY swap rate differential has shrunk by around 35bp in the past 30 days, but the yen has failed to attract buyers below 158. With a lot of BoJ tightening in the price, the risks are that officials disappoint markets on the dovish side even if they hike in September.

Ultimately, a dovish Fed repricing remains the most tangible path to keep USD/JPY below 160.

Francesco Pesole

➔ **AUD: We are still leaning towards a hold despite hot data**

The Aussie dollar is the only G10 currency gaining ground this week amid a broad USD rebound. Hotter-than-expected inflation for July (3.5% headline, 3.6% trimmed mean) has caused a rapid rebuilding of hawkish expectations, with markets now pricing in a 28bp by year-end. That's around a 15bp jump since the start of the week.

This morning, Australia reported very strong household spending data for July (7% YoY), further helping the case for more tightening. However, our macro team is still leaning towards a prolonged hold by the Reserve Bank of Australia, but we admit the hawkish risks have increased.

House prices are declining and unemployment has edged higher, trends that should become clearer in the 2Q GDP data. Moreover, the Reserve Bank of Australia will likely wait for another set of quarterly numbers before concluding that the pickup in inflation is anything more than a one-off. Ultimately, we expect the inflation trajectory to prove benign enough to avert another hike, with our call for a Fed on a prolonged hold also diminishing any sense of urgency in Australia.

Markets are pricing in 12bp for the 29 September meeting, and we expect that pricing to be unwound, limiting AUD gains for now. Our view on AUD/USD remains upbeat into year-end with a 0.730 target, but that's relying on our dovish Fed call, which should have a net-positive impact on the pair even if a dovish repricing in the AUD curve happens.

Francesco Pesole

Author

Francesco Pesole

FX Strategist

francesco.pesole@ing.com

Chris Turner

Global Head of Markets and Regional Head of Research for UK & CEE

chris.turner@ing.com

Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies)*. The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit www.ing.com.

Article | 26 August 2026

RATES SPARK

Rates Spark: Why 4.75% is a natural fit for the 10yr yield

We've had the opening salvo from the US Treasury, and so far so good. Long-end yields are down and swap spreads tighter. But it's no game changer, as the underlying pressures remain. Friday's [Jackson Hole Symposium](#) offers a nice distraction. But post that, as the realisation dawns that we're none the wiser on the Fed, long-end pressure is primed to re-build



We see the US 10yr yield staying in the 4.5% to 5% range for now

Mapping 4.5% to 5% as the key extremity bands for the 10yr yield

We got core personal consumer expenditure inflation for July, running at 3.3% YoY. We also got confirmation of GDP growth running at 1.5%. Simplistically, add the two together and we get 4.8%. Traditionally, a nominal growth number like this would have a reasonable relationship with the level of Treasury yields. And the thinking is that it provides a better guide for longer tenor yields (like the 10yr yield), as shorter ones are bossed more by where the Fed pitches the funds rate. That simple 4.8% level is relevant, as it can be deployed as a plain relative value reference for the 10yr yield. The thinking could be that anything around that yield could be construed as representing fair value, or at least the starting point for a conversation on where fair value might be. Add an approximately 6% fiscal deficit as a percent

of GDP, and the fair value level would be to the upside of that. Ballpark, a 5% 10yr yield would not be a crazy level.

The US Treasury decided to "more than double" the size of long-end buybacks with the 10yr yield at 4.7%, which is in the same region, but obviously lower than 4.8%; and 5%. Part of the logic was to support liquidity through the thin August period. But the buybacks commence on 9 September. Hence, there is little doubt that the buybacks are being undertaken predominantly as a curb to the rising long-end yields threat. And in fairness, the Treasury Secretary did make direct reference to this. The complicating factor, however, is we were hardly at unruly levels of long-end yields. Our back-of-the-envelope numbers suggest the 4.7% level is not too deviant from fair valuation levels given current circumstances. We're now down at 4.65%, so the Treasury Secretary, no doubt, is pleased so far. Moreover, the 30yr swap spread is tighter by 6bp, which represents an absolute richening of the 30yr yield versus the 30yr risk-free rate (SOFR).

But this game is far from done. Similar to the recent yen intervention, the underlying forces that prompted it have not been dealt with. In the case of the yen, the Bank of Japan needs to hike rates. The sooner they get to 2% (now 1%) the better from the perspective of the yen. Really, they should be delivering a 50bp hike (at least) from the September meeting. But conventional thinking is they just do 25bp, which means the pressure does not go away. The same applies to long-end Treasury yields. The factors that have placed upward pressure on US long yields have not gone away. We summarise these as issuance pressure (including all types of competing issuance) and a strong productivity-driven corporate sector (incorporating a tech boom). These in particular have pressured real yields higher. Market inflation break-evens are in fact fine (far below contemporaneous inflation prints). In fact, these could rise.

All things considered, if the buyback plan is there to bully long-end yields lower on a structural basis, there is a war to be fought ahead. We've had the first battle, and the Treasury has been victorious. But there'll be more. Consequently, we don't see a break below 4.5% on the 10yr yield as probable any time soon. The pressure remains for a break higher to the 4.75-5% zone. A clear obstacle comes from the prospect of the US Treasury deciding to do bigger buybacks. They already have leeway, as they intend to do "at least" double. But as we've noted before, they could double it again, and again if needed. The good news is this is not protection of an outrageous level. As noted, we're not that deviant from a fair valuation. But it does help to cement an unwritten cap at 5%. That's the wider range for the 10yr yield; 4.5% to 5%. We'll settle in between for now.

Wednesday's events and market views

Jackson Hole will kick off today, and although we don't expect Fed Chair Warsh to provide much to work with, markets will be closely weighing his words. In terms of data, we have weekly jobless claims from the US as the most notable figure.

For supply, we have the US auction \$44bn of a new 7y Note.

Author

Padhraic Garvey, CFA

Regional Head of Research, Americas

padhraic.garvey@ing.com

Michiel Tukker

Senior UK & Eurozone Rates Strategist

michiel.tukker@ing.com

Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies).* The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit www.ing.com.

Article | 26 August 2026

FX

FX Daily: Lower energy helps Bessent's plans

Whether lower energy prices were part of Scott Bessent's asymmetric information included in his plans to support long-end Treasuries remains to be seen. But the welcome drop is good news for risk assets and feeds a benign decline in the dollar. Look out for US PCE inflation data today, as well as Nvidia's Q2 earnings release after the close



US Treasury Secretary Scott Bessent

↓ USD: Softer energy helps risk

A week after US Treasury Secretary Scott Bessent's intervention in the US Treasury market, longer-dated yields are some 10-15bp lower. In defending that intervention last week, Bessent claimed that, as Treasury Secretary, he has 'asymmetric information' – i.e. more information than the market. Whether such information includes the path to de-escalation talks in the Middle East remains to be seen, but it is clear that an 8% swing lower in oil prices since last week has helped. Here, Pakistani-brokered peace talks seem to be grabbing the market's attention.

The next test for the long-end comes from today's release of US PCE inflation data, tomorrow's \$44bn 7-year note auction and then Friday's Jackson Hole speech from Fed Chair Kevin Warsh.

Please see the views of the ING Rates Strategy team [here](#).

Lower yields have seen interest volatility dip again and feed into lower volatility in FX and equities. Carry remains king and, overnight, one of the popular carry trade targets in the G10 space – the Australian dollar – got a boost when July CPI surprised on the upside. This has increased the chances of a Reserve Bank of Australia rate hike in November.

Back to the dollar. A benign US core PCE print at 0.2% month-on-month should keep the dollar relatively steady today, though the benign risk environment could see some mild dollar losses. 99.00/10 may well cap the topside for DXY and we favour a drift back to the recent lows at 98.60.

Chris Turner

↑ **EUR: Schnabel sounds upbeat**

Eurozone data releases continue to surprise to the upside. And what is the big surprise is how resilient the eurozone economy has been in the face of this year's rise in energy prices. In fact, the ECB's Isabel Schnabel has today suggested that at September's meeting, the ECB might have to characterise growth risks to the upside. These comments should cement expectations for a 25bp rate hike to 2.50% at the September meeting and can probably retain market pricing of another 25bp hike into early next year.

As a procyclical currency, better growth prospects are obviously good news for the euro and barring any upside surprises with the US core PCE data today, we favour EUR/USD holding support at 1.1650/60 and heading back to the 1.1700/1710 area.

Chris Turner

↑ **HUF: Forint recovers**

As [expected](#), the National Bank of Hungary cut its policy rate by 25bp to 5.50% yesterday. ING's Chief Economist in Hungary, Peter Virovacz, sees a 4.75% terminal rate here – although the NBH was providing little forward guidance yesterday.

Providing broad support for Hungarian assets is the euro entry story. Part of this will be, at some stage, a re-orienting of the inflation target to 2.00% from its current 3.00%. We are reminded of the great run enjoyed by South African assets last year when the South African Reserve Bank pushed for a lower inflation target (agreed November 2025) at 3.00% from 4.50% prior.

We currently have year-end forecasts for EUR/HUF and ten-year Hungarian Government bond yields at 3.50 and 4.75% versus levels today at 3.60 and 5.43%.

Chris Turner

➔ CNY: Slowdown in pace of appreciation?

After a sharp run lower last week, USD/CNH is consolidating this week. Two factors may be discouraging investors from buying the renminbi at these levels. The first is that the People's Bank of China (PBoC) seems to be slowing the pace of lower fixings in USD/CNY, perhaps expressing some displeasure over the pace of renminbi gains recently.

The second is some fears that the new round of US sanctions on Iran will upend the economic détente between the US and China. We think it is probably too early to expect any US sanctioning of any major, state-sponsored Chinese entity relating to Iran trade, but the market will be watching.

Currently, our base case assumes a gently offered dollar environment and USD/CNY edging lower towards 6.70 over the coming months.

Chris Turner

Author

Chris Turner

Global Head of Markets and Regional Head of Research for UK & CEE
chris.turner@ing.com

Francesco Pesole

FX Strategist
francesco.pesole@ing.com

Frantisek Taborsky

EMEA FX & FI Strategist
frantisek.taborsky@ing.com

Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies)*. The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose

possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit www.ing.com.

Article | 25 August 2026

RATES SPARK

Rates Spark: An uneasy calm

US Treasury long-end buyback talk continues to reverberate, but will slowly morph toward a front-end focus as we wind up towards Jackson Hole on Friday. Meanwhile, geopolitical headlines suggest more economic uncertainty ahead, while market-implied volatility measures see no concern, which is a concern



With the 30yr swap spread continuing to edge lower, attention turns to the front end and the Jackson Hole Symposium

US back end behaves itself as focus slowly switches to the front end

The US 30yr swap spread continued to edge lower through Tuesday. Not by much, by a basis point, but is, in cumulative terms, tighter by some 6bp since last week's "at least doubling of buybacks" announcement. That, no doubt, is pleasing for Treasury Secretary Bessent, as it identifies a material richening of long-end Treasury yields relative to long-end SOFR (aka "risk-free") rates. In addition, the absolute 30yr yield is back down to the lows that it saw on the day of the announcement. Similar for the 10yr yield. The absolute level of long-end yields is the focus of the buyback strategy, but the swap spread is the better measure of the distilled effect of the policy, on a theory that an absolute richening versus the risk-free rate identifies pure impact.

The carry spread (fed funds rate to the 2yr yield) has also calmed back below 60bp, and so, still playing with the notion of a 25bp hike at some point. But it's not that convincing. Traditionally, the carry spread is in the 75bp to 100bp range ahead of a rate cycle. Neutrality would be in the area of 30bp (where funds rate stability is anticipated). So, it's closer to discounting a hike than not, but without conviction. In the meantime, the ongoing richness attached to the 5yr part of the curve tells us one of two things. Either, 1. The Fed does not hike. Or, 2. If they do hike, they will subsequently cut by more than they hike, and those cuts come within the coming 18 months.

While Treasury Secretary Bessent continues to boss the back end, or intends to. Chair Warsh would probably like to do the same on the front end, but has chosen to lie low for now. He'll have a chance to opine some more on Friday at the Jackson Hole Symposium. We don't expect a whole lot though, apart from his commitment to achieving price stability. There'll be all kinds of expectation for him to opine on the elevated deficit and the increased long-end buybacks. But don't expect much. Far more likely that he'll be balanced and non-committal; at least until we get to the point where he can convincingly voice a rate cut preference (not this Friday though).

Market-implied volatility measures do not reflect intensification of geopolitical risks

While headlines suggest a further intensification of geopolitical risks, volatility measures don't seem to reflect such concerns. Equity measures such as the VIX are pointing at a very benign risk environment, being close to this year's lowest levels. Also, the implied rate volatility is very well-behaved. The volatility of the short end of euro rates has clearly drifted lower over the past month.

One could argue that the tail risks of a full escalation in the Middle East have eased again. Signals that the US is actively seeking to open the Strait of Hormuz reduce the probability of oil surging well past \$100/bbl again. But until we see concrete steps towards a reopening, the path of least resistance remains for a drift up from current prices. Also, watch European gas prices as these continue to trade at this year's high. As we approach winter, the rebuilding of gas reserves can trigger more volatility.

In addition, we also have the uncertainty around second-round inflation risks, which could challenge current central bank pricing. Overall, we think the second-round effects should be limited because wage pressures remain subdued. In our baseline, we therefore only see the European Central Bank hike rates once more, but higher oil prices for longer could easily trigger a hiking path towards 2.75%. Meanwhile, markets have turned more dovish for the Fed, but data like Wednesday's PCE deflator continue to pose uncertainty.

Wednesday's events and market views

Besides geopolitical headlines, the US PCE data should draw markets' attention. Consensus expects a 0.2% month-on-month for the core reading and just 0.1% MoM for the headline. Such numbers would help the Fed hold rates stable during September's meeting. Other data includes US personal income and spending numbers from July and also durable goods orders.

Italy will auction €2.5-3.0bn of a new 2y BTP. Germany will auction a 15y Bund and a 22y Bund for a total of €2bn. The US will auction \$28bn of 2y FRNs and a new \$70bn 5y Note.

Author

Padhraic Garvey, CFA

Regional Head of Research, Americas
padhraic.garvey@ing.com

Michiel Tukker

Senior UK & Eurozone Rates Strategist
michiel.tukker@ing.com

Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies)*. The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of

THINK economic and financial analysis

the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit www.ing.com.

Article | 26 August 2026

HUNGARY

National Bank of Hungary review: All eyes on the next staff forecast

In line with the pre-announced mini cycle, the National Bank of Hungary continued to cut rates in August. While this chapter ends here, we think the Monetary Council is not done with easing. We expect three more rate cuts this year



We forecast three further rate cuts in Hungary this year

5.50%

As expected

Key interest rate

(-25bp)

ING's policy view: We see scope for further cuts in the autumn

The National Bank of Hungary cut the base rate to 5.50% on 25 August, as was signalled at the rate-setting meeting in June when Governor Varga announced a 'mini rate cut cycle' throughout the summer.

Looking ahead, we expect policymakers to stick to the euro adoption roadmap, particularly the planned medium-term fiscal path, with EU funds set to arrive in the fourth quarter as expected. We expect inflation to remain low and stay below the central bank's target for the rest of the year, although we anticipate some acceleration in the months ahead.

While external risks are mounting again, we forecast three further rate cuts this year if the risk premium for Hungarian assets remains broadly unchanged. This would put the base rate at 4.75% by the end of 2026, with a terminal rate of 4.00% by the end of 2028, in our view.

ING's market views

The Hungarian forint repeatedly tested the 366 EUR/HUF level in August, its weakest level since the April elections. A mix of global geopolitical uncertainty, local energy supply concerns and crowded long positioning pushed EUR/HUF higher. Despite higher rates volatility, markets still maintain a dovish bias on Hungary relative to the rest of the region, leaving the overall backdrop unfavourable for the forint.

That said, most of these headwinds should prove temporary, and we expect market sentiment to turn more supportive again. In our view, EUR/HUF remains rangebound, with less scope for a rally than in fixed income. Still, levels above 364 look cheap if global sentiment improves.

Rates now price in around 50bp of easing, keeping Hungary an outlier within EMEA. Despite repeated downside inflation surprises, markets have stayed cautious amid geopolitical risks and reduced rate cut bets compared to early August. We see scope for more easing to be priced in and for the curve to steepen, although – as with FX – this depends on some improvement in global sentiment.

Our three takeaways from the press conference

- Overall, the macroeconomic outlook is broadly in line with the June inflation report: the industrial sector contributed positively, while the agricultural sector weighed on performance more than anticipated. Inflation was lower even under the central bank's most optimistic scenario, and although global energy prices rose slightly, inflation expectations declined across the board. Looking ahead, these data may provide a basis for an optimistic September inflation report.
- In our view, the general environment is favourable for a rate cut in the next decision. The September inflation report will be of decisive importance in determining the interest rate path for the coming months. Varga stated that the NBH has begun a review of the inflation-targeting framework, the results of which will be published in the autumn. We believe the review will be released before the government publishes its medium-term budget plan. In our view, there is a possibility that it will be published in conjunction with the September inflation report.

- Varga once again emphasised the importance of foreign exchange market stability in reducing and anchoring inflation expectations, as these expectations have shown improvement recently. We believe that the central bank's primary objective is to maintain the EUR/HUF exchange rate within its most recent range of 355–365.

Author

Peter Virovacz

Chief Economist, Hungary

peter.virovacz@ing.com

Frantisek Taborsky

EMEA FX & FI Strategist

frantisek.taborsky@ing.com

Zoltán Homolya

Economic research trainee

zoltan.homolya@ing.com

Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies)*. The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit www.ing.com.

Article | 21 August 2026

COMMODITIES, FOOD & AGRI

Is gold back?

Gold has rebounded sharply from its July lows, supported by renewed investment demand and growing unease over the US fiscal outlook. But persistent inflation and the possibility of further Fed tightening mean the recovery is unlikely to be straightforward



Growing concerns over the US fiscal situation and investment demand are giving momentum to gold prices

Fiscal risks give gold fresh momentum

Gold has climbed from around \$4,000/oz in mid-July to around \$4,600/oz, returning to levels last seen in May.

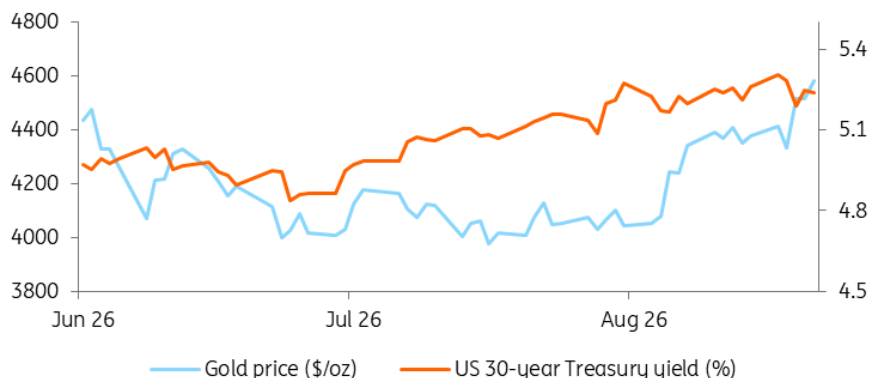
The latest move followed the US Treasury's decision to increase its purchases of longer-dated government debt. The maximum size of buyback operations in the 10-to-30-year segment will rise from \$2bn to at least \$4bn, with Treasury Secretary Scott Bessent signalling that the programme could be expanded further.

The bond-market impact proved short-lived, with long-term yields subsequently recovering much of their decline. Gold, however, continued to strengthen.

In our view, gold's resilience suggests that the rally is not simply a response to lower yields. The prospect of larger Treasury buybacks has refocused attention on government borrowing and fiscal credibility. It has also revived concerns about currency debasement, reinforcing

gold's appeal as a store of value.

Gold rebounds despite elevated long-term yields



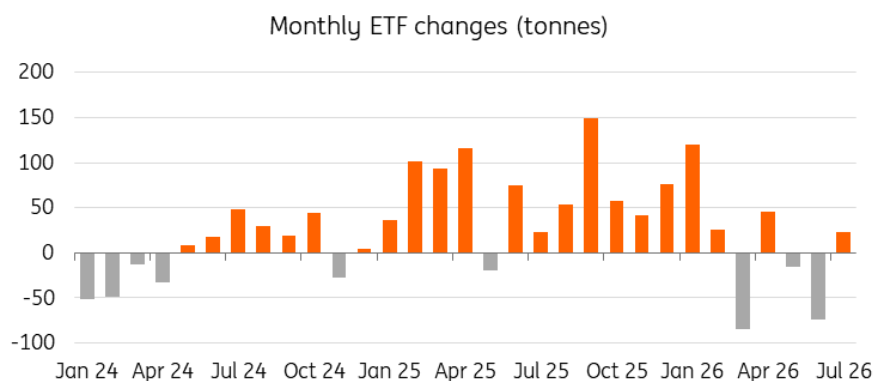
Source: Refinitiv, ING Research

A weaker dollar and lower short-term yields have helped gold rebound after prices found support around \$4,000/oz in mid-July. Softer US data have also revived expectations that the Fed could begin easing policy in 2027.

Investment demand is recovering

The improvement in ETF demand is another positive signal. Global gold-backed ETFs attracted \$3bn in July, lifting their holdings by 23 tonnes, according to the World Gold Council.

Gold ETF inflows return



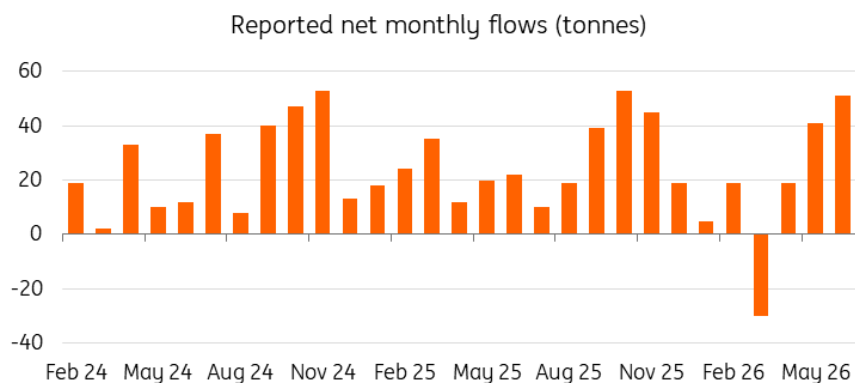
Source: WGC, ING Research

The recovery has continued into August. Funds tracked by Bloomberg added around 18 tonnes on Thursday alone, their strongest daily accumulation in almost a year.

Central banks also remain a significant source of demand. Reported net purchases reached 51

tonnes in June, taking the first-half total to 102 tonnes, with Poland and China leading the buying. We expect official-sector buying to continue supporting the market, but further gains will increasingly depend on whether Western investors maintain their renewed interest in gold.

Central bank purchases rebound



Source: WGC, ING Research

Inflation remains the main headwind

The rally still faces headwinds. Rising energy prices are adding to US price pressures and could keep monetary policy restrictive for longer.

[Minutes from the Fed's July meeting](#) showed that some policymakers favoured an immediate rate increase, while others were prepared to support further tightening if inflation remained elevated.

The Fed's annual Jackson Hole symposium from 27 to 29 August will be closely watched. Any indication that policymakers are becoming more willing to raise rates would risk lifting yields and the dollar. A greater focus on growth or financial stability would be more supportive for gold.

Upside risks to our outlook are growing

Our forecast of \$4,150/oz for the fourth quarter (average price) assumes that persistent inflation keeps US monetary policy restrictive and prevents a sustained fall in yields. However, renewed ETF buying, a weaker dollar and mounting fiscal concerns are creating increasingly clear upside risks to our outlook.

Gold's correction appears to have found a floor. Renewed ETF buying and its resilience despite elevated yields suggest the recovery is on firmer footing, but further gains will depend on whether investment demand continues to build and how the Fed responds to persistent inflation.

Author

Ewa Manthey

Commodities Strategist

ewa.manthey@ing.com

Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies).* The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit www.ing.com.

Article | 26 August 2026

FX CANADA

The Canadian dollar has further to fall on tariff chaos

Markets may be underestimating the economic costs of trade uncertainty for Canada. We expect CAD, which has remained relatively resilient so far, to underperform most other G10 currencies in the coming months. USD/CAD still has scope to move higher in the very near term, although gains may later be capped as we see dovish Fed repricing weighing on USD



Despite its recent resilience, we expect the Canadian dollar to underperform its G10 peers on dovish repricing in rate expectations and a rising tariff premium

What's happened and where we stand – in a nutshell

Following the collapse of negotiations on 22 August, 50% US tariffs on roughly USD 20bn of Canadian goods have come into effect. President Trump has also announced 50% tariffs on Canadian autos, auto parts and steel from 1 January 2027. In response, Canada has unveiled dollar-for-dollar retaliatory tariffs worth USD 20bn, set to take effect on 8 September, including 50% levies on steel and aluminium (discussed by our commodities team [here](#)).

Latest media reports suggest the US administration is considering further trade penalties, with Canada prepared to retaliate again if needed. While US Vice President JD Vance said talks with Canada are “still ongoing”, Canadian PM Mark Carney had previously indicated there was little prospect of negotiations resuming before the 5 November US midterms.

Growth headwinds re-intensify

This comes at an unfortunate time for the Canadian economy. After contracting in three out of the past four quarters, a period of trade stability was prompting optimism to return. That will be evident in Friday's second-quarter GDP release, which is expected to show annualised growth exceeding 3%. Similarly, Canada's labour market was displaying renewed signs of life, having added 181,100 jobs over the past three months after losing 112,300 in the first four months of the year. An escalation of trade tensions, creating business uncertainty and consumer anxiety about the implications for jobs and inflation, risks stopping these improvements in their tracks.

While tariffs will put up costs, which will add to price pressures, it may also mean some squeeze to corporate profits as the burden is shared. The one bit of positive news is that inflation is currently within the Bank of Canada's target band, which offers some time for the central bank to assess the growth and inflation implications.

Markets have reduced the pricing around potential Bank of Canada rate hikes – at the start of the week, 63bp of cumulative hikes was priced for April 2027, but today that is only 44bp. The headwinds to growth and the lack of corporate pricing power in the economy amidst labour market slack mean economists are more cautious on rate hikes. The BoC is almost certain to keep policy unchanged next week and through to year-end. We currently have one rate rise pencilled in for 2Q 2027 and a further hike in 4Q 2027, while the consensus is split between one and two hikes for 2027 in total.

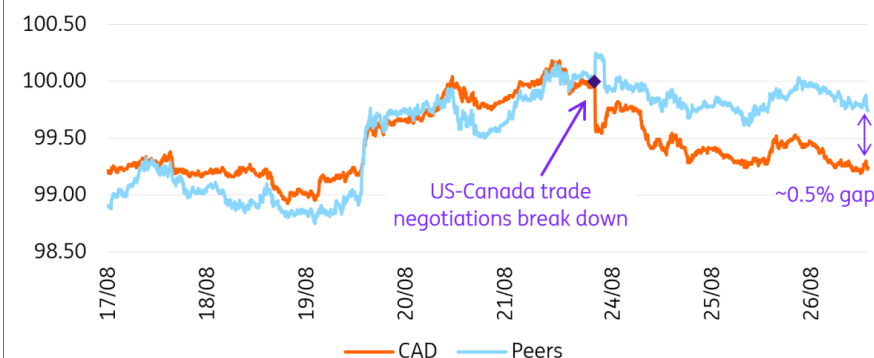
CAD reaction contained, why?

Under similar circumstances in the past, the Canadian dollar would likely have fallen sharply. That is not only because of the direct economic impact – which remains more sector-specific than broad-based, affecting roughly 5% of exports for now – but also because the tariffs represent a direct breach of the USMCA, a cornerstone of Canada's export model.

USD/CAD is up around 1.0% since trade negotiations collapsed on 21 August, but when we strip out the idiosyncratic USD rally, CAD has underperformed its closest peers by only 0.5% (chart below).

CAD weakness has been limited

Performance vs USD, 21/08/26 22:00 BST = 100. Peers: average of EUR, AUD, NZD, NOK, SEK)



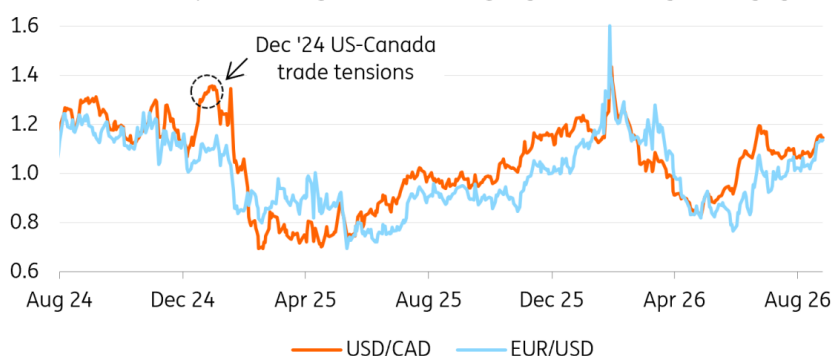
Source: ING, Refinitiv

In our view, the main reason is that markets are still following the 2025 playbook on US protectionism. The assumption is that an initial escalation will eventually give way to negotiations and some form of agreement. Under that framework, fading the initial FX reaction remains the preferred trade. Trump's decision to delay auto tariffs until 1 January also leaves the door open to further talks and may reflect concerns about the inflationary impact of higher tariffs ahead of the midterms.

The options market offers another indication of how investors are now responding to trade tensions. The premium of implied short-term USD/CAD volatility over realised volatility is smaller than when US-Canada tariff risk first emerged in December 2024. At that time, the gap relative to EUR/USD's volatility premium was considerable. Today, it is null.

Cost of hedging CAD remains contained

Ratio of 3M ATM implied volatility/realised volatility (higher value = higher hedging cost)



Source: ING, Refinitiv

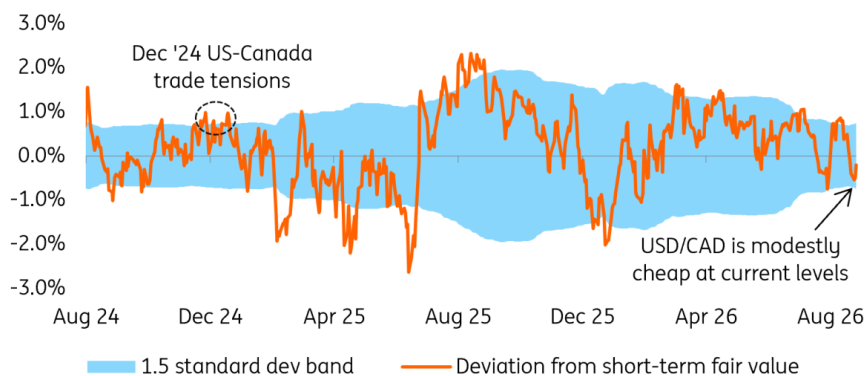
CAD can drop further against G10 peers

We aren't in the position to claim this time is different than 2025. The economic arguments to avoid a complete spiralling of trade tensions and de-facto collapse of the USMCA are obvious, both for Canada and the US. A return to the negotiating table in the coming months still looks like the most likely scenario.

That said, Bank of Canada surveys have consistently shown that the costs of the US-Canada trade dispute reach far beyond the industries directly affected by tariffs. The Bank has repeatedly pointed to trade policy uncertainty as a drag on business investment, hiring intentions and demand, with negative spillovers spreading across the broader economy.

For now, we believe CAD has further downside. A combination of dovish repricing in BoC rate expectations and a rising tariff risk premium should leave CAD underperforming most of its G10 peers. In particular, we continue to expect AUD and NOK, supported by higher carry and stronger fundamentals, to outperform CAD by a meaningful margin.

USD/CAD still looking mildly cheap



Source: ING, Refinitiv

USD/CAD may be capped by USD weakness

When it comes to the USD/CAD outlook, we must weigh it against the USD view. In the very near term, we see upside room for the pair. USD/CAD is showing no tariff risk premium (chart above), and is instead trading modestly below its short-term fair value, which sits just above 1.390. With the gradual unwinding of the UST-intervention premium on USD and the ongoing trade tensions, the argument for a move at least to the 1.3920-1.3950 area is compelling.

However, we are also quite bearish on USD, as we see market expectations on the Fed as too hawkish and expect no hikes by year-end also in the US. As we expect the unwinding of 10bp for the September FOMC and 26bp by December, we see the upside in USD/CAD constrained by the USD side of the equation. Our forecast is 1.39 for end-3Q and 1.38 for end-4Q.

Author

Francesco Pesole

FX Strategist

francesco.pesole@ing.com

James Knightley

Chief International Economist, US

james.knightley@ing.com

Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies)*. The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit www.ing.com.